Outlook

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Follow-up: the model may be penalising the way a customer entered the bank

Team,

Before this becomes another standing report, can we answer the real question?

Model Risk is concerned that channel, document availability and data completeness may become proxies for customer groups rather than genuine risk. The possible stories are that branch and digital populations differ before modelling, that missing documents drive predictions, or that performance gaps disappear after controlling for product and income.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use February 2024 as the new evidence point rather than recycling the earlier conclusion. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

Please prepare a working Excel file with the exception population and clear columns. The output must help us decide which features need restriction, monitoring or clearer business justification.

Data available: monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments.

Please state the limitation plainly: Protected-attribute analysis must be governed and access-controlled; do not use ethnicity or gender for targeting or adverse treatment.

Thanks